

Construction Business Act, 1999

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Amending Acts

1. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.7
2. Some Nepal Acts Amendment Act to Make Consistent with the Constitution of Nepal, 2075 2075.11.19

Act Number 25 of the Year 2054

An Act Made to Manage and Expand the Construction Business

Preamble: Whereas, it is expedient to make necessary provisions relating to the promotion and development of construction entrepreneurs and the operation of the construction business in order to maintain the required quality in public construction works,

This Act is enacted by the Parliament in the twenty-eighth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Construction Business Act, 2054".
(2) This Act shall commence from the 1st day of Baisakh of the year 2056. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-
 - (a) "Public Construction Work" means any kind of construction related work to be carried out on behalf of the Government of Nepal and an organized institution wholly owned by the Government of Nepal in accordance with the prevailing law, and the said term also includes reconstruction and maintenance work.
 - (b) "Construction Entrepreneur" means a firm or company registered in accordance with the prevailing law with the objective of operating the construction business.
 - (c) "Foreign Construction Entrepreneur" means a firm or company registered in a foreign country that carries out work related to the construction business.
 - (d) "License" means a license issued pursuant to Section 4 for carrying out public construction work.
 - (e) "Temporary License" means a license issued to a foreign construction entrepreneur pursuant to Section 6 for carrying out public construction work.

- (f) "Organized Institution" means an organized institution wholly owned by the Government of Nepal.
- (g) "Technical Person" means a technical employee deployed on behalf of the Government of Nepal or the concerned organized institution to oversee and supervise public construction work.
- (h) "Quality" means the quality as mentioned in the contract agreement entered into between the proposer and the acceptor of the proposal, or in the documents, drawings, designs, and specifications forming an integral part of such contract agreement, according to the proposal called for carrying out or causing to carry out public construction work.
- (i) "Council" means the Construction Business Development Council constituted pursuant to Section 13.
- (j) "Committee" means the Implementation Committee constituted pursuant to Section 15.
- (k) "Prescribed or as Prescribed" means prescribed or as prescribed in the rules made under this Act.

Chapter-2

Provisions Relating to License

3.

Not to Carry Out Public Construction Work Without Obtaining License: No person shall carry out or cause to carry out public construction work without obtaining a license under this Act. Provided that nothing in this section shall be deemed to prevent the carrying out of public construction work through a consumer committee or with public participation in accordance with the prevailing law.

4. License: (1) A construction entrepreneur wishing to carry out public construction work shall submit an application to the Committee for a license to carry out public construction work, in the format as prescribed, along with the fee as prescribed. (2) Upon receipt of an application pursuant to Sub-section (1), the Committee shall, after making an inquiry into such application as prescribed, recommend to the Government of Nepal to issue a license of the class, among the classes of construction entrepreneurs classified pursuant to Section 8, which it deems appropriate for which to issue the license. (3) The Government of Nepal shall issue a license in the format as prescribed to the applicant recommended by the Committee pursuant to Sub-section (2). (4) Notwithstanding anything contained in Sub-sections (2) and (3), the Government of Nepal may also issue a license of class "D" without the recommendation of the Committee.

5. Term of License and Renewal: (1) A license granted pursuant to Section 4 shall be valid for one fiscal year, except in the case where it is cancelled pursuant to Section 7. Even if the license is granted on any date, the term of such license shall expire at the end of that fiscal year. (2) Every construction entrepreneur whose license term has expired pursuant to Sub-section (1) shall, within three months from the date of expiry of the license term, pay the fee as prescribed and get the license renewed as prescribed from the prescribed authority. (3) A construction entrepreneur wishing to get the license renewed within six months after the expiry of the period pursuant to Sub-section (2) may get the license renewed as prescribed by paying an additional fee as prescribed.

6. Temporary License: (1) A foreign construction entrepreneur selected in international competitive bidding and participating in a joint investment with a domestic construction entrepreneur in local competitive bidding worth more than six crore rupees shall be granted a temporary license to carry out public construction work. (2) The fee and format for the temporary license to be granted pursuant to Sub-section (1) shall be as prescribed. (3) A foreign construction entrepreneur who has obtained a temporary license under this section shall not be entitled to carry out any public construction work other than the work specified in such license.

7. Cancellation of License: (1) The Government of Nepal may, on the recommendation of the Committee,

cancel the license of a construction entrepreneur in the following circumstances:-

- (a) If the license was obtained by submitting false details,
 - (b) If false details and related documents are submitted to the Government of Nepal or an organized institution with the objective of carrying out or being entitled to carry out public construction work,
 - (c) If it is determined that quality work has not been performed.
- (2) Before canceling the license pursuant to Sub-section (1), the concerned construction entrepreneur shall be given a reasonable opportunity to submit an explanation.
- (3) A license not renewed within the period pursuant to Sub-section (3) of Section 5 shall be automatically canceled.
- (4) If a license is canceled pursuant to Sub-section (1) or (3), information thereof shall be given to the office registering the concerned firm or company. Chapter-3

Classification of Construction Business and Liability

8. Classification of Construction Entrepreneur: Construction entrepreneurs carrying out public construction works shall be classified into the following classes on the prescribed basis:-

- (a) Construction Entrepreneur of Class "A"
 - (b) Construction Entrepreneur of Class "B"
 - (c) Construction Entrepreneur of Class "C"
 - (d) Construction Entrepreneur of Class "D".
9. Liability of Construction Entrepreneur: (1) It shall be the liability of the construction entrepreneur to carry out public construction work subject to the conditions specified in the contract agreement.

(2) The details of each public construction work completed by the construction entrepreneur shall be submitted to the Committee as prescribed.

10. Grouping of Construction Entrepreneurs: The Government of Nepal shall, on the recommendation of the Council, group the construction entrepreneurs classified pursuant to Section 8 on the prescribed basis.

11. Public Construction Work That May Be Carried Out by Construction Entrepreneurs: While having public construction work carried out, work of the following minimum and maximum amounts may be carried out by construction entrepreneurs as follows:-

- (a) From construction entrepreneur of Class "A", work of any amount exceeding two crore rupees,
 - (b) From construction entrepreneur of Class "B", work of an amount ranging from sixty lakh rupees to three crore rupees,
 - (c) From construction entrepreneur of Class "C", work of an amount ranging from twenty lakh rupees to one crore rupees,
 - (d) From construction entrepreneur of Class "D", work of an amount up to thirty lakh rupees. Explanation: For the purposes of this section, "amount" means the estimated amount.
- 12.

Carrying Out Public Construction Work from Domestic Construction Entrepreneur and Construction Entrepreneur Operated with Joint Investment: (1) Notwithstanding anything contained in the prevailing law, public construction work according to a bid called at the international level may be completed by the following

construction entrepreneurs in the following circumstances:- (a) A construction entrepreneur with one hundred percent share of Nepali citizens, or a construction entrepreneur licensed with joint investment with a foreign construction entrepreneur having at least a fifty percent share of Nepali citizens, or a construction entrepreneur entering into a joint investment agreement with a foreign construction entrepreneur ensuring at least a fifty percent share of Nepali citizens, may submit such a bid even if the total contract amount mentioned in the bid is up to seven and a half percent higher than the total contract amount mentioned in the bid submitted by a foreign construction entrepreneur. (b) A construction entrepreneur licensed with joint investment with a foreign construction entrepreneur having at least a twenty-five percent share of Nepali citizens, or a construction entrepreneur entering into a joint investment agreement with a foreign construction entrepreneur ensuring at least a twenty-five percent share of Nepali citizens, may submit such a bid even if the total contract amount mentioned in the bid is up to five percent higher than the total contract amount mentioned in the bid submitted by a foreign construction entrepreneur. (2) Public construction work of an amount up to six crore rupees must be carried out by a Nepali construction entrepreneur. Chapter-4 Construction Business Development Council and Implementation Committee 13.

Construction Business Development Council: (1) For the purpose of formulating necessary policies for strengthening and systematic operation of the construction business and giving directions to the concerned bodies, a Construction Business Development Council shall be constituted as follows:- (a) Minister for Physical Infrastructure and Transport ? Chairperson (b) Member, National Planning Commission (looking after construction and transport) ? Member (c) Secretary, Ministry of Physical Infrastructure and Transport ? Member (d) Secretary, Ministry of Water Resources and Irrigation ? Member (e) Secretary, Ministry of Urban Development ? Member (f) President of the Federation of Nepal Construction Entrepreneurs or a representative designated by him/her ? Member (g) President, Society of Consulting Architectural and Engineering Firms (SCAEF) ? Member (h) Technical Joint Secretary designated by the Ministry of Physical Infrastructure and Transport ? Member-Secretary (2) In the circumstance where only a Minister of State is appointed in the Ministry of Physical Infrastructure and Transport, that Minister of State shall be the Chairperson of the Council. (3) The procedure relating to the meeting of the Council shall be as determined by the Council itself. 14. Functions, Duties and Powers of the Council: The functions, duties and powers of the Council shall be as follows:- (a) To prepare necessary norms relating to maintaining quality in public construction works, (b) To prepare and develop model drafts relating to the contract agreement, terms of contract and specifications between the proposer and the acceptor of the proposal in public construction works, (c) To prepare and develop necessary codes on other subjects including environmental aspects related to public construction works, (d) To conduct training and coaching for the production of necessary human resources to operate the construction business in a strong and capable manner, (e) To conduct necessary research and development on subjects related to the construction business, (f) To carry out other necessary functions to implement the objectives of this Act. 15.

Implementation Committee: (1) An Implementation Committee shall be constituted as follows to provide necessary assistance to the Government of Nepal in relation to the promotion and management of the construction business:- (a) Technical Joint Secretary designated by the Ministry of Physical Infrastructure and Transport ? Chairperson (b) Technical Representative, Ministry of Water Resources and Irrigation ? Member (c) Technical Representative, Ministry of Urban Development ? Member (d) Technical Representative, Department of Roads ? Member (e) Representative, Federation of Nepal Construction Entrepreneurs ? Member (f) Representative, Society of Consulting Architectural and Engineering Firms (SCAEF) ? Member (g) Law Officer, Ministry of Physical Infrastructure and Transport ? Member (h) Officer designated by the Ministry of Physical Infrastructure and Transport ? Member-Secretary (2) The procedure relating to the

meeting of the Committee shall be as determined by the Committee itself. 16. Functions, Duties and Powers of the Implementation Committee: The functions, duties and powers of the Implementation Committee shall be as follows:- (a) To recommend to the Government of Nepal for granting licenses to construction entrepreneurs. (b) To conduct contemporary studies and research on the construction business and collect necessary suggestions and submit them to the Government of Nepal. (c) If any question arises regarding the quality of public construction work, to make or cause to make necessary inquiry regarding the inspection and approval done by the concerned technical person. (d) If, while making or causing to make inquiry pursuant to Clause (c), it appears that inspection and approval was done by a technical person without maintaining the prescribed quality, to recommend to the concerned body to take action under the prevailing law against the person involved in that act for recovery of the loss or damage caused thereby. (e) To determine necessary policy matters and recommend to the Government of Nepal regarding the submission of bids, entering into contracts, and issuing bank guarantees (bid bond or performance bond) in the currency of the concerned country, for a construction entrepreneur licensed under this Act to carry out construction business related work abroad. (f) To carry out other functions as prescribed. Chapter-5 Fund and Audit 17.

Construction Entrepreneur Fund: (1) A Construction Entrepreneur Fund has been established to provide necessary services and assistance to construction entrepreneurs for enhancing the quality of public construction works and the work efficiency of construction entrepreneurs. (2) The Fund mentioned in Sub-section (1) shall consist of the following amounts:- (a) Amount received from the Government of Nepal, (b) Fees received from construction entrepreneurs as prescribed, (c) Amount received from domestic or foreign associations or organizations. (3) Expenditure from the Fund shall be according to the decision of the Council. (4) The operation and audit of the Fund mentioned in Sub-section (1) shall be as prescribed. Chapter ? 6 Miscellaneous 18. Contract Related Documents to be Sent: One copy of the agreement made and documents related thereto concerning the carrying out of public construction work within Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. shall be sent to the Committee by the body approving the contract. 19. Details of Goods Imported at Concession to be Disclosed: Under the facilities obtained under the prevailing law for public construction work carried out pursuant to bilateral or multilateral agreements, details of vehicles, machinery tools, and other similar machinery and equipment imported into Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. by domestic and foreign construction entrepreneurs shall be submitted to the Committee in the format as prescribed. 20. Machinery Tools etc. Imported at Concession by Foreign Construction Entrepreneur Not to be Used Elsewhere: (1) The vehicles, machinery tools, and other similar machinery and equipment imported by a foreign construction entrepreneur pursuant to Section 19 shall be used only for the work for which they were imported. Without the approval of the Government of Nepal, such vehicles, machinery tools, machinery and equipment shall not be used for other work. (2) If the vehicles, machinery tools, and other similar machinery and equipment imported by a foreign construction entrepreneur pursuant to Section 19 are not taken back after the completion of the public construction work, tax, duty, fee, etc. leviable under the prevailing law on such vehicles, machinery tools, and other machinery and equipment shall also be recovered. 21. To be According to Agreement with Foreign Government or Institution: Notwithstanding anything contained elsewhere in this Act, while carrying out public construction work according to an agreement on grant or loan assistance entered into between the Government of Nepal and a foreign government or an institution owned by a foreign government or international institutions, it shall be according to what is written in that agreement. 22.

Penalty: If any domestic or foreign construction entrepreneur misuses the concessions and facilities obtained under the prevailing law, the Government of Nepal may fine such construction entrepreneur up to double the

amount so misused. 23. May Form Sub-Committee: (1) The Council and the Committee may form sub-committees as necessary for the conduct of their work. (2) The functions, duties, powers and working procedure of the sub-committee formed pursuant to Sub-section (1) shall be as determined by the Council or the Committee. 24. To Give Copy of License: If any construction entrepreneur applies to obtain a copy of the license due to the license being lost or destroyed, the Committee shall give a copy of the license upon collecting the fee as prescribed. 25. Delegation of Authority: The Government of Nepal may delegate some of the powers vested in it under this Act to a designated authority for a prescribed period. 26. To be According to Prevailing Law: Matters written in this Act shall be according to this Act, and other matters shall be according to the prevailing law. 27. Power to Make Rules: The Government of Nepal may make necessary Rules for the fulfillment of the objectives of this Act. 28. Saving: Licenses granted to firms and companies relating to contractors registered under the prevailing law before the commencement of this Act shall be deemed to have been granted under this Act.